Three-Statement Financial Model

Illustrative Manufacturing Co. | 2024A-2025A historical, 2026E-2030E forecast | $ thousands

Purpose	Forecasts the income statement, balance sheet and cash flow statement, fully linked, so a change to any assumption flows through all three.
Data	Illustrative figures for a fictional company. Not real company data.
How to use	Change only the blue cells and yellow cells on the Assumptions sheet. Every other number is a formula.
Scenario	Assumptions!C5 switches the revenue case: 1 = Base, 2 = Upside, 3 = Downside.
Sheets	Assumptions > Income Statement > Balance Sheet > Cash Flow > Checks
Balancing	Cash on the balance sheet comes from the cash flow statement. The Checks sheet confirms assets = liabilities + equity every year.
Colour key	Blue = hardcoded input | Black = formula | Green = link to another sheet | Yellow fill = key assumption to change
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Assumptions

Illustrative Manufacturing Co. ($ thousands)

	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Scenario selector	1 Base		*Type 1 = Base, 2 = Upside, 3 = Downside*				
Revenue growth							
Base case			10.0%	9.0%	8.0%	7.0%	6.0%
Upside case			14.0%	12.0%	11.0%	10.0%	9.0%
Downside case			4.0%	3.0%	3.0%	2.0%	2.0%
Revenue growth used			**10.0%**	**9.0%**	**8.0%**	**7.0%**	**6.0%**
Operating assumptions							
COGS (% of revenue)			60.0%	59.5%	59.0%	59.0%	59.0%
SG&A (% of revenue)			20.0%	20.0%	19.5%	19.5%	19.0%
D&A (% of revenue)			5.0%	5.0%	5.0%	5.0%	5.0%
Capex (% of revenue)			6.5%	6.0%	6.0%	5.5%	5.5%
Tax rate			25.0%	25.0%	25.0%	25.0%	25.0%
Working capital							
Receivable days (DSO)			50 days	50 days	50 days	50 days	50 days
Inventory days (DIO, on COGS)			60 days	60 days	60 days	60 days	60 days
Payable days (DPO, on COGS)			45 days	45 days	45 days	45 days	45 days
Financing							
Interest rate (on opening debt)			7.0%	7.0%	7.0%	7.0%	7.0%
Debt repayment			300	300	300	300	300
Dividend payout (% of net income)			30.0%	30.0%	30.0%	30.0%	30.0%

Notes: interest is charged on opening debt to avoid a circular reference. All inputs are illustrative.

Income Statement

Illustrative Manufacturing Co. ($ thousands)

	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Revenue	**10,800**	**12,000**	**13,200**	**14,388**	**15,539**	**16,627**	**17,624**
Growth		11.1%	10.0%	9.0%	8.0%	7.0%	6.0%
Cost of goods sold	(6,588)	(7,200)	(7,920)	(8,561)	(9,168)	(9,810)	(10,398)
Gross profit	**4,212**	**4,800**	**5,280**	**5,827**	**6,371**	**6,817**	**7,226**
Gross margin	39.0%	40.0%	40.0%	40.5%	41.0%	41.0%	41.0%
SG&A	(2,268)	(2,460)	(2,640)	(2,878)	(3,030)	(3,242)	(3,349)
EBITDA	**1,944**	**2,340**	**2,640**	**2,950**	**3,341**	**3,575**	**3,877**
EBITDA margin	18.0%	19.5%	20.0%	20.5%	21.5%	21.5%	22.0%
Depreciation & amortisation	(540)	(600)	(660)	(719)	(777)	(831)	(881)
EBIT	**1,404**	**1,740**	**1,980**	**2,230**	**2,564**	**2,743**	**2,996**
Interest expense	(215)	(200)	(210)	(189)	(168)	(147)	(126)
Profit before tax	**1,189**	**1,540**	**1,770**	**2,041**	**2,396**	**2,596**	**2,870**
Income tax	(297)	(385)	(443)	(510)	(599)	(649)	(718)
Net income	**892**	**1,155**	**1,328**	**1,531**	**1,797**	**1,947**	**2,153**
Net margin	8.3%	9.6%	10.1%	10.6%	11.6%	11.7%	12.2%

Balance Sheet

Illustrative Manufacturing Co. ($ thousands)

	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Assets							
Cash	900	908	1,146	1,584	2,204	3,009	3,967
Accounts receivable	1,450	1,644	1,808	1,971	2,129	2,278	2,414
Inventory	1,080	1,184	1,302	1,407	1,507	1,613	1,709
Total current assets	**3,430**	**3,736**	**4,256**	**4,962**	**5,840**	**6,899**	**8,090**
Property, plant & equipment (net)	3,700	4,000	4,198	4,342	4,497	4,580	4,669
Total assets	**7,130**	**7,736**	**8,454**	**9,304**	**10,337**	**11,479**	**12,759**
Liabilities & equity							
Accounts payable	790	888	976	1,055	1,130	1,209	1,282
Total current liabilities	**790**	**888**	**976**	**1,055**	**1,130**	**1,209**	**1,282**
Long-term debt	3,300	3,000	2,700	2,400	2,100	1,800	1,500
Total liabilities	**4,090**	**3,888**	**3,676**	**3,455**	**3,230**	**3,009**	**2,782**
Common stock	1,000	1,000	1,000	1,000	1,000	1,000	1,000
Retained earnings	2,040	2,848	3,777	4,849	6,107	7,470	8,977
Total equity	**3,040**	**3,848**	**4,777**	**5,849**	**7,107**	**8,470**	**9,977**
Total liabilities & equity	**7,130**	**7,736**	**8,454**	**9,304**	**10,337**	**11,479**	**12,759**

Cash Flow Statement

Illustrative Manufacturing Co. ($ thousands)

	2026E	2027E	2028E	2029E	2030E
Operating activities					
Net income	1,328	1,531	1,797	1,947	2,153
Depreciation & amortisation	660	719	777	831	881
(Increase) / decrease in receivables	(164)	(163)	(158)	(149)	(137)
(Increase) / decrease in inventory	(118)	(105)	(100)	(105)	(97)
Increase / (decrease) in payables	88	79	75	79	73
Cash from operating activities	**1,794**	**2,061**	**2,391**	**2,603**	**2,873**
Investing activities					
Capital expenditure	(858)	(863)	(932)	(914)	(969)
Cash from investing activities	**(858)**	**(863)**	**(932)**	**(914)**	**(969)**
Financing activities					
Debt repayment	(300)	(300)	(300)	(300)	(300)
Dividends paid	(398)	(459)	(539)	(584)	(646)
Cash from financing activities	**(698)**	**(759)**	**(839)**	**(884)**	**(946)**
Net change in cash	**238**	**439**	**620**	**805**	**958**
Ending cash	**1,146**	**1,584**	**2,204**	**3,009**	**3,967**

Model Checks

Illustrative Manufacturing Co. (difference should be zero)

	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Balance sheet: assets less liabilities & equi	-	-	-	-	-	-	-
Cash: balance sheet less cash flow ending cash			-	-	-	-	-

All checks pass? **OK**